LAW & MOTION CALENDAR
TENTATIVE RULINGS

May 29, 2026

9:00 AM, 10:00 AM, and 1:30 PM

CX-101

JUDGE WILLIAM D. CLASTER

Department CX101 Phone Number: (657) 622-5301

The Court will hear oral argument on all matters at the time noticed for the hearing. If you would prefer to submit the matter on your papers without oral argument, please advise the clerk by calling (657) 622-5301. The Court will not entertain a request for continuance nor filing of further documents once the ruling has been posted.

APPEARANCES: Appearances, whether remote or in person, must be in compliance with new Code of Civil Procedure §367.75, California Rules of Court, Rule 3.672, and Superior Court of California, County of Orange, Appearance Procedure and Information, Civil Unlimited and Complex, located at https://www.occourts.org/media-relations/covid/Civil_Unlimited_and_Complex_Appearance_Procedure_and_Information.pdf.

COURT REPORTERS: Official court reporters (i.e. court reporters employed by the Court) are **NOT** provided for any matters in this department. If a party desires a record of a law and motion proceeding, it will be the party's responsibility to provide a court reporter. Parties must comply with the Court's policy on the use of privately retained court reporters which can be found at:

- Civil Court Reporter Pooling; and
- For additional information, please see the court's website at Court Reporter Interpreter Services for additional information regarding the availability of court reporters.
- Civil Limited, Unlimited and Complex (Updated June 11, 2020)

#	CASE NAME	MATTER
		9:00 AM
1	**Torres vs. Munch and Crunch, LLC** **2024-01434673**	**Plaintiff's Motion for Approval of Class Settlement** The Court has reviewed the supplemental briefing filed in response to the prior minute order. The Court asked counsel to provide the original and amended LWDA letters. Exhibits A and B to counsel's declaration are proofs of the letters' submission to the LWDA, not the letters themselves. Before the Court can approve the settlement, it must review the letters. To that end, counsel is to file the letters as soon as possible. Assuming the letters are in order, the Court intends to GRANT approval of the parties' PAGA settlement. Aside from the letters issue, the Court finds the parties' settlement, as amended, is "fair, reasonable, and adequate in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws." (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 72.) The Court will approve the following distributions: 1. Attorneys' fees in the amount of $110,700, or 30% of the

		GSA. The Court finds this amount to be a reasonable result in light of the quality of the result obtained, the work performed by counsel, and the estimated lodestar. In approving this amount, the Court is not approving any particular hourly billing rates proposed by counsel. 2. Litigation costs in the amount of $19,479, per the amended costs ledger. 3. Administration costs in the amount of $10,000, per the administrator's revised bid. 4. An enhancement of $5,000 to Plaintiff. In making this award, the Court has considered only the factors discussed in *Golba v. Dick's Sporting Goods, Inc.* (2015) 238 Cal.App.4th 1251 and *Clark v. Am. Residential Servs. LLC* (2009) 175 Cal.App.4th 785. 5. The amount remaining is to be distributed 75% to the LWDA and 25% to the aggrieved employees as required by the version of PAGA in effect when the case was filed. Please submit a revised proposed order for the Court's signature that conforms to the foregoing.
2	**Novello vs. HEG Enterprises, Inc.** **2024-01391376**	**Plaintiff's Motion for Final Approval** The Court has reviewed the supplemental briefing filed in response to the prior minute order. The motion for approval of the parties' PAGA settlement is GRANTED. The Court finds the parties' settlement is "fair, reasonable, and adequate in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws." (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 72.) The Court approves the following distributions: 1. Attorneys' fees in the amount of $225,000, or 30% of the GSA. The Court finds this amount to be a reasonable result in light of the quality of the result obtained, the work performed by counsel, and the estimated lodestar. In approving this amount, the Court is not approving any particular hourly billing rates proposed by counsel. 2. Litigation costs in the amount of $48,000, the parties' agreed-upon not-to-exceed amount. 3. Administration costs in the amount of $7,250, per the

		administrator's revised bid. 4. An enhancement of $15,000 to Plaintiff. In making this award, the Court has considered only the factors discussed in *Golba v. Dick's Sporting Goods, Inc.* (2015) 238 Cal.App.4th 1251 and *Clark v. Am. Residential Servs. LLC* (2009) 175 Cal.App.4th 785. 5. The amount remaining is to be distributed 75% to the LWDA and 25% to the aggrieved employees as required by the version of PAGA in effect when the case was filed. Please submit a revised proposed order for the Court's signature that conforms to the foregoing.
3	**Dehkordi vs. Modern Creation Inc** **2025-01473144**	**Plaintiff's Motion for Final Approval** The motion for approval of PAGA settlement is CONTINUED to July 31, 2026 at 9:00 a.m. in Department CX101 to permit the parties to respond to the following items of concern. Any supplemental briefing shall be filed on or before July 21, 2026. If a revised settlement agreement and/or proposed notice is submitted, a redline version showing all changes, deletions and additions must be submitted as well. In addition, Plaintiff must provide proof of service of any revised settlement agreement and supplemental papers on the LWDA. The moving papers and supporting declaration aren't internally tabbed or bookmarked as required by the Rules of Court. Please be advised that failure to follow the Rules of Court in future filings may result in hearing continuances and orders to follow the Rules. *As to the settlement:* 1. Are there any other cases, whether individual, class, or PAGA (including in the pre-filing LWDA stage) that may be affected by this settlement? 2. What is the actual number of aggrieved employees and pay periods worked? Is the escalator triggered? 3. The "Released Parties" include a laundry list of parents, subsidiaries, etc., but also refers to Defendant's "related entities" in several places. Please delete references to "related entities," as this term is too vague for the scope of the release to be understood.

4. Has Plaintiff separately settled his individual claims? If so, please provide a copy of the individual settlement agreement. All agreements between the parties are relevant to the Court's fairness analysis.

5. What documents and information did Defendant turn over prior to mediation? For example, did Defendant provide Plaintiff's personnel records? Copies of relevant policy documents? Time and pay records for the aggrieved employees? If time and pay records were turned over, were they all records, or were they a representative sample? If a sample, how large (e.g., 10%)?

6. Did counsel interview anyone other than Plaintiff to value the non-record claims?

7. As to the rest break claim, Defendant would raise standard defenses about its obligation being merely to provide breaks (rather than ensure they're taken) and the difficulty of proving the claim on an aggregate basis. How are these defenses responsive to counsel's allegation that Defendant had no rest break policy at all?

8. As to the reimbursement claim, Plaintiff claimed he was required to use his own vehicle for work-related travel, purchase fuel at his own expense, and purchase safety equipment and tools at his own expense. Defendant would contend that it provided company vehicles for travel, company credit cards for fuel purchases, and all necessary safety equipment and tools. What did the evidence show? Did Defendant indeed provide company vehicles, company credit cards, and all necessary equipment?

9. As to the waiting time claim, Plaintiff alleges not only a derivative waiting time claim, but the substantive failure to pay him at all for his last three days of work. As to the substantive claim, what did the evidence show? Did Defendant pay Plaintiff for his last three days or not?

10. Plaintiff's pre-filing letter to the LWDA mentions seating violations. These do not appear to be discussed in counsel's valuation. Since seating violations will be released by this settlement, they must be valued.

		11. Please provide contemporaneously made billing records for lodestar cross-check purposes. In the event such records are unavailable, please provide a time-and-task chart that identifies all timekeepers and their claimed billing rates. 12. The notice attached to counsel's declaration is from a different case. Please provide a notice for this case. Does notice need to be given in any languages other than English?
4	**RENTERIA vs. NEWLIGHT TECHNOLOGIES, INC.** **2021-01215778**	**Plaintiff's Motion for Approval of Paga Settlement** The Court has reviewed the supplemental briefing filed in response to the prior minute order. The motion for approval of the parties' PAGA settlement is GRANTED. The Court finds the parties' settlement is "fair, reasonable, and adequate in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws." (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 72.) The Court approves the following distributions: 1. Attorneys' fees in the amount of $34,500, or 30% of the GSA. The Court finds this amount to be a reasonable result in light of the quality of the result obtained, the work performed by counsel, and the estimated lodestar. In approving this amount, the Court is not approving any particular hourly billing rates proposed by counsel. 2. Litigation costs in the amount of $15,000, representing the full amount sought. 3. Administration costs in the amount of $2,950, per the administrator's bid. 4. The amount remaining is to be distributed 75% to the LWDA and 25% to the aggrieved employees as required by the version of PAGA in effect when the case was filed. The Court declines to award an incentive payment to Plaintiff. The settlement agreement in Plaintiff's companion FEHA action provides that approval of this PAGA settlement is a condition precedent to Defendant's payment obligations in the FEHA settlement. In effect, the two actions have been settled together in a single, unified settlement. The amount Plaintiff will receive

		for his FEHA settlement is more than sufficient to compensate him for his efforts in achieving a unified resolution of claims. Please submit a revised proposed order for the Court's signature that conforms to the foregoing.
5	**Pacific Stone Construction, Inc. vs. Rafipoor** **2021-01178241**	**Plaintiff's Motion to Increase Bond**
6	**Morales vs. Indotronix International Corporation** **2023-01339414**	**Plaintiff's Motion for Approval of Paga Settlement** The Court has reviewed the supplemental briefing filed in response to the previous minute order. The motion for preliminary approval of class action settlement is GRANTED. The motion for final approval shall be heard on November 13, 2026 at 9:00 a.m. in Department CX101. Moving papers are due 16 court days before the hearing. Please submit a revised proposed order that conforms to the foregoing, includes the date of the final approval hearing, and updates all dates that are calculated in reference to the date preliminary approval is granted.
7	**Viramontes vs. Prestige Design Center, Inc.** **2021-01179611**	**Plaintiff's Motion to Enforce Settlement** **No tentative ruling.**
8	**Dunn vs. Suzuki Motor USA, LLC** **2025-01477567**	**Plaintiff's Motion for Approval of Class Settlement** **Case Management Conference** Plaintiff's Motion for Preliminary Approval of Class Action and PAGA Settlement is CONTINUED to July 31, 2026 at 9:00 a.m. Among other things, the Court will not consider an unsigned settlement agreement such as the one submitted after the close of business on May 27, 2026.
9	**Dunn vs. Suzuki Motor USA, LLC**	**Case Management Conference**

	2025-01495109	Continued to 07/31/2026 at 9:00 a.m. in Department CX101.
10	**Her vs. Avon Protection Systems, Inc.** **2024-01392475**	**Plaintiff's Motion for Approval of Paga Settlement** Plaintiff's motion for preliminary approval of class action settlement is CONTINUED to July 24, 2026 at 9:00 a.m. in Department CX101 to permit the parties to respond to the following items of concern. Any supplemental briefing shall be filed on or before July 14, 2026. If a revised settlement agreement and/or class notice is submitted, a redline showing all changes, deletions and additions must be submitted as well. *As to the Settlement:* 1. The class period pled in the operative Second Amended Complaint (2AC) begins four years prior to filing, or April 8, 2020. The class period in the agreement begins on January 19, 2022. What is the reason for this discrepancy? Does this settlement provide anything for class members who worked between April 8, 2020 and January 19, 2022? The UCL-based statute of limitations has run on their claims by now. 2. The pre-filing letter to the LWDA was sent on April 8, 2024. The PAGA period in the agreement begins on July 12, 2023. What is the reason for this discrepancy? Does this settlement provide any penalties for Labor Code violations occurring between April 8, 2023 and July 12, 2023? 3. There are separate aggrieved employee groups for employees of Avon and employees of Volt who worked at Avon's facility. The settlement class, however, consists exclusively of Avon employees. Why are Volt employees excluded from the settlement class when they have always been part of the class as pled, and when the settlement includes them as aggrieved employees? 4. Please provide copies of Plaintiff's pre-filing letter to the LWDA and all amended letters. 5. Are there any other actions, whether individual, class, or PAGA (including in the pre-filing LWDA stage) that may be affected by this settlement?

		6. Plaintiff was a Volt employee who worked at Avon's facility. Is he typical of and adequate to represent Avon's direct employees? 7. The 2AC, Plaintiff's declaration, and the proposed class notice all describe Plaintiff as a current employee. On what basis can he bring, and settle, a waiting time claim? "A class representative who does not have a claim against the defendants cannot satisfy the typicality requirement." (*Martinez v. Joe's Crab Shack Holdings* (2014) 231 Cal.App.4th 362, 376.) 8. Counsel states that Defendants turned over a representative sample of the class's time and pay records. How large a sample? E.g., 10%? 9. Did counsel interview anyone other than Plaintiff to value the non-record claims? 10. Counsel's declaration mentions an expert retained to value the case. Whom? Please provide a CV. 11. Does the UCL claim have independent value, or does it simply extend the limitations period? 12. The class released claims (defined at ¶ 31 of the agreement) include PAGA claims. Please delete the reference to PAGA claims, as PAGA claims are released by aggrieved employees and the State, not class members. 13. The class released claims are based on the facts set forth in the operative complaint and in Plaintiff's April 8, 2024 letter to the LWDA. The PAGA released claims (defined at ¶ 32 of the agreement) are based on the facts set forth in the operative complaint and Plaintiff's November 24, 2025 amended letter to the LWDA. Why are the two sets of released claims based on different LWDA letters? 14. The agreement appears to contain two separate class releases and two separate PAGA releases. (Compare ¶¶ 52-53 and ¶¶ 63-64 of the agreement.) Are these releases meant to differ materially? If so, what is the difference, and which controls? If not, why are there two sets of releases?

		15. At final approval, please submit contemporaneously made billing records for attorney's fees and costs. The Court will not be inclined to award an amount of fees and costs greater than the amount stated in the notice. 16. At final approval, please submit billing records for administrative costs. The Court will not be inclined to award administrative costs in an amount greater than the amount stated in the notice. 17. Because Plaintiff has submitted a declaration in support of his requested enhancement payment, he need not submit one at final approval. 18. At final approval, the administrator is to provide a high, low, and average for individual settlement payments, along with Plaintiff's individual payout. *As to the Notice:* 1. Page 2 of the notice briefly summarizes the options Avon employees have. Assuming Volt employees are solely aggrieved employees, this summary should briefly explain that they lack the rights associated with class members. 2. On page 4 of the notice, please delete the description of the mediator as "experienced, neutral". Because the notice is Court-ordered, there is a risk this description could be considered an official endorsement by the Court. 3. Does notice need to be given in any languages other than English and Spanish? 4. If any changes are made to the settlement agreement, please make corresponding changes to the notice. 5. The font size in the actual notice may not be smaller than the font size in the proposed notice provided to the Court.
11	**Keller vs. System Pavers, LLC**	**Plaintiff's Motion for Approval of Class Settlement**

	2025-01477814	The Court has reviewed the supplemental briefing filed in response to the previous minute order. The motion for preliminary approval of class action settlement is GRANTED as to the current versions of the agreement and the notice. The motion for final approval shall be heard on November 13, 2026 at 9:00 a.m. in Department CX101. Moving papers are due 16 court days before the hearing. Please submit a revised proposed order that conforms to the foregoing, includes the date of the final approval hearing, and updates all dates that are calculated in reference to the date preliminary approval is granted.
12	**Steele-Ramirez vs. Project Partners Inc.** **2023-01361715**	**Plaintiff's Motion for Final Approval** The Court has reviewed the supplemental briefing filed in response to the prior minute order. The motion for approval of the parties' PAGA settlement is GRANTED. The Court finds the parties' settlement is "fair, reasonable, and adequate in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws." (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 72.) The Court approves the following distributions: 1. Attorneys' fees in the amount of $35,595, or 30% of the GSA. The Court finds this amount to be a reasonable result in light of the quality of the result obtained, the work performed by counsel, and the estimated lodestar. In approving this amount, the Court is not approving any particular hourly billing rates proposed by counsel. 2. Litigation costs in the amount of $17,911, representing the full amount sought. 3. Administration costs in the amount of $4,000, per the administrator's bid. 4. The amount remaining is to be distributed 75% to the LWDA and 25% to the aggrieved employees as required by the version of PAGA in effect when the case was filed. Please submit a revised proposed order for the Court's signature that conforms to the foregoing.
13	**Rodriguez Clavel vs. Malcolm Healthcare, Inc.**	**Plaintiff's Motion for Approval of Class Settlement**

	2024-01449009	Plaintiff's motion for preliminary approval of class action settlement is CONTINUED to July 24, 2026 at 9:00 a.m. in Department CX101 to permit the parties to respond to the following items of concern. Any supplemental briefing shall be filed on or before July 14, 2026. If a revised settlement agreement and/or class notice is submitted, a redline showing all changes, deletions and additions must be submitted as well. *As to the Settlement:* 1. The agreement defines "Defendant" as "KTLA Properties Limited Partnership, Inc. et al." What is the relationship between the named defendants? For example, is one the parent of the others? Does one own real property and another operate the business on that real property? Etc. 2. The class period in the agreement begins on 12/2/22. The class period pled in the operative FAC begins on 12/27/20. What, if anything, does this settlement provide for class members who worked before 12/2/22, who have always been part of the class as pled? Absent a compelling explanation (e.g., a prior class action settlement covering part of the class period), the Court is unlikely to approve a settlement that provides nothing for nearly two years' worth of class members. 3. Please provide 60 days, rather than 45, for opt-outs, objections, and workweek disputes. 4. Are there any other actions, whether individual, class, or PAGA (including in the pre-filing LWDA stage) that may be affected by this settlement? 5. Counsel states that Defendant turned over Plaintiff's time and pay records, as well as pay records for 100% of class members. Did Defendant turn over time records for class members, or just pay records? If time records were turned over, was it a sample, or 100% of time records? If a sample, how large? 6. Did counsel interview anyone other than Plaintiff to value the non-record claims? 7. Counsel's declaration mentions an expert retained to value the case. Whom? Please provide a CV.

8. Did counsel review the meal break waivers or on-duty meal break agreements Defendant intended to rely upon? In counsel's opinion, were they compliant with applicable law and regulation?

9. Does the UCL claim have independent value, or does it simply extend the limitations period?

10. The class and PAGA releases generally cover all claims that were pled or could have been pled based on the facts alleged in the pleadings and the LWDA letter. This is fine so far as it goes, but both releases go on to list specific claims and Labor Code sections that were never pled in the operative FAC. For example, and without limitation, the releases cover reporting time violations. If these claims are well-enough known to the parties that they are listed in the release, Plaintiff must value them for *Dunk/Kullar* purposes before the Court will approve their release.

11. At final approval, please submit contemporaneously made billing records for attorney's fees and costs. The Court will not be inclined to award an amount of fees and costs greater than the amount stated in the notice.

12. At final approval, please submit billing records for administrative costs. The Court will not be inclined to award administrative costs in an amount greater than the amount stated in the notice.

13. Because Plaintiff has submitted a declaration in support of her requested enhancement payment, she need not submit one at final approval.

14. At final approval, the administrator is to provide a high, low, and average for individual settlement payments, along with Plaintiff's individual payout.

As to the Notice:

6. The notice should identify all defendants, not just KTLA Properties.

7. On page 3, please delete the descriptions of the mediator as "experienced, neutral" and the agreement

		as “lengthy.” Because the notice is Court-ordered, there is a risk the use of these descriptions could be considered an official endorsement by the Court. 8. Does notice need to be given in any languages other than English? 9. Please include opt-out and workweek dispute forms (but not an objection form) with the notice. 10. If any changes are made to the settlement agreement, please make corresponding changes to the notice. 11. The font size in the actual notice may not be smaller than the font size in the proposed notice provided to the Court.
14	**Daniels vs. Lennar Homes of California, Inc** **2026-01547354**	**Sultana S. Kelantan's Motion to Be Relieved as Counsel of Record** **Case Management Conference** Attorney Sultana Kelantan’s motion to be relieved as counsel for Plaintiff Eian Daniels is DENIED WITHOUT PREJUDICE. CRC 3.1362 requires that a motion to be relieved as counsel be filed on Judicial Council form MC-051, supported by a declaration on form MC-052, and accompanied by a proposed order on from MC-053. Counsel has filed only a motion on form MC-051. There is neither a supporting declaration nor a proposed order on the record. The letter and FedEx receipt attached to the motion are inadmissible, as they are not authenticated under penalty of perjury. Attorney Kelantan may refile the motion with proper supporting papers in compliance with the Rules of Court. The Court hereby takes notice that the following case is related to the above-entitled matter: *Daniels v. Lennar Homes of California, Inc.*, No. 2024-01422730. This case is ordered removed from the inventory of the Honorable William D. Claster in Department CX101 and reassigned to the inventory of the Honorable Craig L. Griffin in Department N17 for all purposes. The Court determines that for purposes of exercising CCP § 170.6 rights, there are two sides to this matter unless the contrary is

		brought to the attention of the Court by ex parte motion. Counsel has 15 days from the date of the enclosed certificate of mailing in which to exercise any rights under CCP § 170.6.
	10:00 AM	
15	**Sandoval vs. Riverside County** **CVRI2502556**	**Defendant's Demurrer to Amended Complaint** The Court previously issued a tentative ruling (ROA 370) that proposed overruling Riverside Superior Court's (RSC) and Does 1-100's demurrer in its entirety. At the hearing, RSC advanced new arguments about judicial immunity that weren't fully briefed in the moving papers. The Court continued the hearing on the demurrer and ordered supplemental briefing on judicial immunity. For the reasons set forth below, the demurrer is OVERRULED. However, given the state of judicial immunity case law in California, all parties should be aware that the Court will not consider injunctive relief against RSC or Does 1-100 on the present record, only declaratory relief. Defendant RSC shall file its answer by June 12, 2026. **<u>GROUNDS FOR RULING</u>** **I. <u>Prior Tentative Ruling</u>** The Court incorporates the prior tentative ruling by reference. The only live issue for purposes of the present ruling is judicial immunity. **II. <u>Judicial Immunity</u>** RSC and Does 1-100 (the individual judicial officers of RSC) contend they are immune from suit under California law. "California's courts have had little to say in published opinions about the reach of judicial immunity." (*Mahler v. Judicial Council of California* (2021) 67 Cal.App.5th 82, 109.) Accordingly, California follows the view of the federal courts on the scope of judicial immunity. (*Id.*, at p. 110.) At the time *Mahler* was decided,

		federal law—and thus California law—barred "claims for prospective injunctive relief against judicial officials acting in their judicial capacity," with a limited exception permitting such relief "when a declaratory decree is violated or declaratory relief is unavailable." (*Id.*, at p. 109 (quoting *Justice Network Inc. v. Craighead County* (8th Cir. 2019) 931 F.3d 753, 763).) However, because it was "the universal view of the federal courts . . . that the doctrine of judicial immunity has never foreclosed declaratory relief," *Mahler* adopted that holding as well. (*Id.*, at p. 110.) Under *Mahler*, then, judicial officers acting in their judicial capacities were immune from suits for damages and suits for prospective injunctive relief (with narrow exceptions), but not from suits for declaratory relief. RSC and Does 1-100 argue the federal law of judicial immunity has since evolved, and suits for declaratory relief are now barred as well. Their argument is based on *Whole Woman's Health v. Jackson* (2021) 595 U.S. 30. *Whole Woman's Health* was a challenge to Texas's privately enforced abortion ban. The petitioners sued to enjoin numerous state officials from taking any action to enforce the statute. Relevant here, they named a Texas state court judge and court clerk as defendants. Although only one judge and clerk were named, the petitioners "intend[ed] to seek an order enjoining all state-court clerks from docketing S.B. 8 cases and all state-court judges from hearing them." (*Id.*, at p. 39.) The Supreme Court "[a]lmost immediately" identified the flaw in petitioners' theory: "Generally, States are immune from suit under the terms of the Eleventh Amendment and the doctrine of sovereign immunity." (*Ibid.*) And while *Ex Parte Young* (1908) 209 U.S. 123 recognized a "narrow exception" allowing federal courts to enjoin state executive officials in certain circumstances, "this traditional exception does not normally permit federal courts to issue injunctions against state-court judges or clerks." (595 U.S. at 39.) As the foregoing makes clear, *Whole Women's Health* is about sovereign immunity and the Eleventh Amendment to the United States Constitution, not judicial immunity. The Supreme Court said nothing about whether the judge was immune from suit *because he was a judge*. Rather, he was immune from suit because the Eleventh Amendment and sovereign immunity barred suit, and the limited *Ex Parte Young* exception was inapplicable to him. Notably, both *Whole Women's Health* and *Ex Parte Young* hold that issuing an injunction against a state court judge "would be a

		violation of the whole scheme of our Government." (*Ibid.* (quoting *Ex Parte Young*, *supra*, 209 U.S. at p. 163).) Of course, the relevant "scheme of our Government" is the federal system. A *federal* court enjoining or issuing declaratory relief against a *state* judge is the violation. A *state* court enjoining or issuing declaratory relief against a judge of *that state* poses no federalism concerns. In any event, the Eleventh Amendment has no application in state courts, and RSC and Does 1-100 make no argument that sovereign immunity applies. RSC and Does 1-100 also rely on *Whole Women's Health*'s holding that "'no case or controversy' exists 'between a judge who adjudicates claims under a statute and a litigant who attacks the constitutionality of the statute.'" (*Id.*, at p. 40.) Their reliance on this language is misplaced, because it omits important context. In addition to the Eleventh Amendment and sovereign immunity, the Supreme Court found article III of the United States Constitution barred the petitioners' suit. "Article III of the Constitution affords federal courts the power to resolve only 'actual controversies arising between adverse litigants.' [Citation.] . . . Judges exist to resolve controversies about a law's meaning or its conformance to the Federal and State Constitutions, not to wage battle as contestants in the parties' litigation." (*Id.*, at pp. 39-40.) Absent a live case or controversy, the judicial power of the United States didn't reach the petitioners' claims. California law is different. "The California Constitution does not impose the same 'case-or-controversy' limit on state courts' jurisdiction as article III of the United States Constitution does on federal courts." (*Yvanova v. New Century Mortgage Corp.* (2016) 62 Cal.4th 919, 936 fn. 11.) Simply put, article III and the case-or-controversy requirement are irrelevant to this case. **III. <u>Conclusion</u>** For the reasons set forth in the original tentative ruling, and for the reasons set forth above, the demurrer is overruled. However, as *Mahler* holds, prospective injunctive relief against judges is improper unless (1) a judge has violated a declaratory decree or (2) declaratory relief is unavailable. In this case, no declaratory decree has yet been issued. Nor may Plaintiffs plead that declaratory relief is *unavailable* when they seek declaratory relief against RSC and Does 1-100. As a result, while the 2AC will move forward against RSC and Does 1-100, declaratory relief against these parties will be the only form of relief available on this record.
1:30 PM		

16	**Ortiz vs. Guess? Retail, Inc.** **2025-01520347**	**Defendant's Motion to Compel Arbitration** **Case Management Conference** Defendant Guess? Retail, Inc. moves to compel arbitration of Plaintiff Andres Ortiz Puentes' individual PAGA claim and to stay proceedings pending completion of arbitration. The motion is DENIED for the reasons set forth below. To the extent the Court discusses the parties' evidence below, any objections to such evidence are overruled. The Court declines to rule on any objections to evidence not discussed below on the grounds that such evidence is immaterial to the Court's ruling. **<u>GROUNDS FOR RULING</u>** **I. <u>Introduction</u>** Plaintiff admits that during onboarding in 2024, he signed the arbitration agreement at issue. (Ortiz Decl. ¶ 4; see also Young-Lau Decl. Ex. A.) At the same time, Plaintiff also signed a confidentiality agreement, a social media policy, and a policy and agreement acknowledgment. (Ortiz Decl. Exs. 1-3.) Plaintiff's sole argument against arbitration is the alleged unconscionability of the arbitration agreement. He doesn't dispute that the agreement covers the claims at issue here and is governed by the FAA. **II. <u>Unconscionability</u>** "'The prevailing view is that [procedural and substantive unconscionability] must both be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability.' [Citation.] But they need not be present in the same degree. 'Essentially a sliding scale is invoked which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves.'" (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 114.) **A. <u>Procedural Unconscionability</u>**

"A procedural unconscionability analysis 'begins with an inquiry into whether the contract is one of adhesion.' [Citation.] An adhesive contract is standardized, generally on a preprinted form, and offered by the party with superior bargaining power 'on a take-it-or-leave-it basis.' [Citations.] Arbitration contracts imposed as a condition of employment are typically adhesive . . . ." (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126.) "[A]lthough adhesion alone generally indicates only a low degree of procedural unconscionability, the potential for overreaching in the employment context warrants close scrutiny of the contract's terms." (*Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478, 494.)

Here, the arbitration agreement is adhesive. It is offered on Defendant's pre-printed form, complete with version number in the bottom margin. There is no serious dispute that Plaintiff had no opportunity to negotiate the agreement's terms.

Because the agreement is adhesive, "[t]he pertinent question…is whether circumstances of the contract's formation created such oppression or surprise that closer scrutiny of its overall fairness is required." (*OTO*, *supra*, 8 Cal.5th at p. 126.) "'The circumstances relevant to establishing oppression include, but are not limited to (1) the amount of time the party is given to consider the proposed contract; (2) the amount and type of pressure exerted on the party to sign the proposed contract; (3) the length of the proposed contract and the length and complexity of the challenged provision; (4) the education and experience of the party; and (5) whether the party's review of the proposed contract was aided by an attorney.'" (*Id*. pp. 126-127)

Here, the circumstances indicate oppression. Plaintiff testifies that he was taken to a back office and given an iPad to electronically sign numerous onboarding documents, including the arbitration agreement. He testifies it would have been impossible to actually read the documents in the time Defendant gave him. Furthermore, he wasn't given copies of the documents before or after signing, meaning he couldn't have asked an attorney to review the documents for him. (Ortiz Decl. ¶¶ 3-4.) The Court credits Plaintiff's testimony about his specific onboarding experience over senior human resources manager Tiffanie Young-Lau's testimony about how the onboarding experience operates in general. (Supp. Young-Lau Decl. ¶ 4.)

Moreover, Plaintiff was reasonably under the impression that the arbitration agreement was a required condition of employment. Although the agreement says that "execution of this Agreement is not and was not a condition of Associate's employment with the

Company" (Young-Lau Decl. Ex. A at p. 2), the policy acknowledgement Plaintiff filled out at onboarding says that "as a condition of your employment at GUESS? Inc., it is your responsibility and obligation to fully comply and abide by all terms and conditions stated within these documents." (Ortiz Decl. Ex. 3 at p. 1.) Among "these documents" is the arbitration agreement. (*Ibid.*) To the extent there is any ambiguity or conflict between the policy acknowledgment and the arbitration agreement, the Court construes that ambiguity against Defendant, the drafter of the forms. (See Civ. Code § 1654.)

"Surprise" occurs "where the allegedly unconscionable provision is hidden within a prolix printed form." (*OTO*, *supra*, 8 Cal.5th at p. 126.) Here, there is little if any evidence of surprise. The arbitration agreement was presented as a standalone document titled "**AGREEMENT TO ARBITRATE**" in all-capital letters and bold typeface. It is roughly two-and-a-third pages long, and its language is clear.

Taking all of this into consideration, the Court finds a low to moderate degree of procedural unconscionability. Plaintiff's situation appears to be about the same as the usual employment-related arbitration agreement.

B. <u>Substantive Unconscionability</u>

1. <u>Waiver of Administrative Relief</u>

The agreement states that employees may lodge complaints with administrative agencies, "provided, however, that in the event that any federal or state administrative agency or any other person brings any claim or action for monetary relief on Associate's behalf, Associate waives the right to recover or receive any such monetary relief in such claim or action, and agrees to seek relief exclusively through arbitration pursuant to this Agreement." (Young-Lau Decl. Ex. A at p. 1.) Plaintiff contends this is an unconscionable waiver of an employee's right to relief obtained in the administrative process. The Court agrees.

In *Hasty v. American Automobile Assn.* (2023) 98 Cal.App.5th 1041, the appellate court considered a clause that provided "either party may file a charge or complaint with an appropriate governmental administrative agency, however, 'the parties waive their right to any remedy or relief as a result of such charges or complaints brought by such governmental administrative agencies.'" (*Id.*, at p. 1060.) The court noted that the Labor

		Commissioner may investigate employee complaints and, following investigation, award the employee wages owed. The waiver of any relief from such a proceeding would "insulate[] the Association from such awards and precludes the employee from obtaining redress for labor violations that a government agency has determined exist and are well-founded." (*Ibid.*) The court concluded, "A waiver of administrative remedies and relief, hidden in an arbitration agreement, is overly harsh and shocks the conscience." (*Ibid.*) The same is true here. If the Labor Commissioner were to award wages to Plaintiff following a complaint, Plaintiff would be barred from receiving them. This qualifies as overly harsh and shocks the conscience. Defendant's argument that Plaintiff can still pursue administrative remedies in arbitration is not well-taken. The Labor Commissioner is empowered to prosecute wage recovery actions in the employee's name in some circumstances. (See Lab. Code § 98.3.) Should the Labor Commissioner prosecute such an action here and recover wages, Plaintiff would be barred from receiving the wages recovered, even if he didn't prosecute the case himself. This is unconscionable. **2. <u>Arbitration Confidentiality</u>** Again citing *Hasty*, Plaintiff argues the requirement that his arbitration be confidential is unconscionable. There, the arbitration agreement "provide[d] that 'any and all disputes, claims, or causes of action, in law or equity, arising from or relating to [e]mployee's employment or the termination of [e]mployee's employment, including but not limited to statutory, contractual and other claims ... shall be *resolved* to the fullest extent permitted by law, by final, binding, and confidential arbitration.'" (*Hasty*, *supra*, 98 Cal.App.5th at p. 1061 (emphasis original).) In denying arbitration, the trial court noted the confidentiality requirement barred the employee from conducting informal discovery, which would increase discovery costs and make it harder for the employee to prove a pattern of discrimination. (*Ibid.*) The appellate court affirmed, holding the confidentiality clause "benefits only the Association with respect to harassment, retaliation, and discrimination claims, such as the claims here, and is thus substantively unconscionable." (*Id.*, at p. 1062.) Here, the agreement provides, "All arbitration proceedings are confidential unless applicable law provides otherwise. The arbitrator shall maintain the confidentiality of the arbitration to the extent the law permits, and shall have the authority to make appropriate rulings to safeguard that confidentiality." (Young-Lau Decl. Ex. A at p. 2.) The Court finds this provision essentially

indistinguishable from the confidentiality clause in *Hasty*. Defendant argues the clause here makes only the arbitration proceedings themselves confidential, while *Hasty*'s clause made the entire arbitration proceeding confidential. This is a distinction without a difference. How can Plaintiff conduct informal discovery (i.e., speaking with fellow employees) without revealing that an arbitration proceeding exists?

Defendant also argues *Hasty*'s holding should be limited to the FEHA context. As noted above, the trial court found the confidentiality clause made it more difficult for the employee to prove a pattern of past discrimination, and the appellate court found the confidentiality clause was non-mutual as to the FEHA claims at issue in that case. In contrast, here Defendant argues that Plaintiff's individual PAGA claim can be proven solely from reference to its wage and hour policies and compliance records and Plaintiff's personnel records.

The Court disagrees. Plaintiff's PAGA claim is largely based on an alleged exit bag check policy. Assuming such a policy exists, Plaintiff would have to prove that he was subject to the policy in order to prove a violation. That is, he would have to prove he brought a bag to work, had it checked upon exit, and that he was forced to remain on premises while off the clock. The testimony of other employees could assist in proving Plaintiff's case. Moreover, Plaintiff complains of rest break violations caused by inadequate staffing during the busy holiday season. Other employees could testify to these conditions, providing support for Plaintiff's theory of the case. Since the arbitration must be kept confidential, the arbitration agreement effectively forecloses informal discovery by Plaintiff. While confidentiality clauses aren't necessarily unconscionable if they are based on a legitimate commercial need (e.g., the protection of trade secrets), Defendant identifies no such need in its papers.

3. <u>Costs Unique to Arbitration</u>

With respect to allocation of fees and costs, the agreement provides: "To the extent required by applicable law, and only to this extent, the Company shall pay all costs uniquely attributable to arbitration, including the administrative fees and costs of the arbitrator. Otherwise, the costs of arbitration will be paid equally by Associate and the Company. Each party shall pay for its own reasonable costs (filing fees or other administrative expenses) and attorneys' fees, if any. However, if any party prevails on a statutory claim that affords the prevailing party attorneys' fees, or if there is a written agreement providing for attorneys' fees, the Arbitrator may award reasonable fees to the prevailing party. The decision of the arbitrator shall be in writing and shall provide the reasons for the award unless the parties agree otherwise." (Young-Lau Decl. Ex. A at p. 2.)

Plaintiff contends this clause unconscionably allows the arbitrator to require that an employee pay costs unique to arbitration that wouldn't be incurred in court. He reasons as follows: although the agreement says Defendant will pay all costs unique to arbitration, the arbitrator may award attorney's fees if permitted by statute or agreement.

The Court disagrees. Plaintiff relies on *Wherry v. Award, Inc.* (2011) 192 Cal.App.4th 1242. There, the appellate court found unconscionable a clause "providing the arbitrator may impose costs, including the arbitration fee, on the losing party." (*Id.*, at p. 1249.) The agreement here lacks similar language. It allows the arbitrator to award reasonable attorneys' fees in certain circumstances, but the only mention of costs unique to arbitration is a requirement that Defendant pay them. The agreement doesn't unconscionably shift costs to a losing employee.

4. <u>Limitation on Cost Recovery</u>

Plaintiff also contends the fee and cost allocation clause impermissibly limits an employee's right to recover prevailing party costs. Here, the Court agrees.

For costs other than those unique to arbitration, and for attorney's fees, the agreement provides that each side shall bear their own costs and fees. "However, if any party prevails on a statutory claim that affords the prevailing party attorneys' fees, or if there is a written agreement providing for attorneys' fees, the Arbitrator may award reasonable fees to the prevailing party." (Young-Lau Decl. Ex. A at p. 2.) The agreement allows the arbitrator to award attorney's fees if permitted by statute, but it is silent as to costs. "The fact that the contract expressly so provides tends to negate any inference that the parties also intended another consequence to flow from the same event. *Expressio unius est exclusio alterius.*" (*Stephenson v. Drever* (1997) 16 Cal.4th 1167, 1175.)

Defendant notes that the agreement elsewhere authorizes the arbitrator "to award all relief, and only that relief, available under applicable law." (Young-Lau Decl. Ex. A at p. 2.) Since a prevailing employee can recover costs under the Labor Code, Defendant argues this allows the arbitrator to award such costs. This language is found in a portion of the agreement discussing the arbitrator's powers in general. The arbitrator's powers to allocate fees and costs are found in a portion of the agreement devoted specifically to that topic, and this portion only authorizes the arbitrator to allocate attorney fees. "Where general and specific provisions are inconsistent, the specific provision will control." (1 Witkin, Summary of Cal. Law (11th ed. 2026) Contracts § 777.)

The agreement's limitation on a prevailing employee's ability to recover costs is substantively unconscionable.

5. Wholesale PAGA Waiver

Plaintiff contends the agreement contains an illegal wholesale PAGA waiver. The Court agrees.

The agreement provides, "By signing this Agreement, Associate and the Company each agree that, to the extent permitted by applicable law, claims against the other can be brought only in an individual capacity, and not as a . . . representative in any purported . . . representative, or private attorney general proceeding." (Young-Lau Decl. Ex. A at p. 2.) PAGA actions are both representative actions (in that the employee is the representative of the State, which owns the claims) and private attorney general actions. By its terms, this is a wholesale PAGA waiver, which remains illegal. (See *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639, 662 ("that aspect of *Iskanian* is not preempted by the FAA").)

Defendant raises two objections, both of which the Court finds unavailing. First, it contends the PAGA waiver is limited by the phrase "to the extent permitted by applicable law." Wholesale PAGA waivers were ruled illegal in 2014 in *Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, and the United States Supreme Court expressly confirmed in *Viking River* that this rule wasn't preempted by the FAA. Wholesale PAGA waivers have been illegal for 12 years, but Defendant nevertheless included one in its form, hoping boilerplate "to the extent permitted by applicable law" language would encourage a court to ignore the waiver. "The fact that the provision applies to only the 'extent permitted by law' does not save it because the employee would have no way of knowing what would be covered or not covered by this provision." (*Hasty*, *supra*, 98 Cal.App.5th at p. 1062.)

The fact that an arbitration agreement with "to the fullest extent permitted by law" language resulted in partial enforcement of the agreement in *Seifu v. Lyft* (2023) 89 Cal. App. 5th 1129, 1135 does

		not change the result. There, Lyft agreed the PAGA waiver was unenforceable as written (in that it violated *Iskanian*), and the plaintiff agreed that his individual PAGA claim could be sent to arbitration under *Viking River*. (See pp. 1138-1139.) The fight was over whether the non-individual PAGA claims had to be dismissed. Importantly, there was no dispute that the wholesale waiver was illegal and unenforceable. Second, Defendant contends that under *Viking River*, the proper course of action is for the Court to rely on the agreement's severance clause, split the PAGA claim into its individual and non-individual components, and compel arbitration of the former. This is what *Viking River* says a court should do with an otherwise enforceable arbitration agreement. But it is irrelevant to the limited question at hand: whether a wholesale PAGA waiver is illegal, and thus unconscionable. Indeed, were a wholesale PAGA waiver *not* illegal and unconscionable, there would be no need to sever it as *Viking River* requires. In short, the agreement's wholesale PAGA waiver is substantively unconscionable. And while this alone would not prevent the Court from splitting the PAGA claim into individual and non-individual components and compelling partial arbitration, it is considered here simply as one of many factors in the substantive unconscionability analysis. **6. <u>Confidentiality Agreement</u>** Plaintiff contends the confidentiality agreement, which he signed at the same time as his other onboarding documents, violates Labor Code § 232.5. He further contends that the confidentiality agreement should be read together with the arbitration agreement, so the confidentiality agreement should be considered part of the unconscionability analysis. As to whether the agreements should be read together, *Alberto v. Cambrian Homecare* (2023) 91 Cal.App.5th 482 is directly on point. There, the employee signed a confidentiality agreement and an arbitration agreement on the same day. The appellate court held: "Here, we have no difficulty concluding that the Arbitration Agreement and the Confidentiality Agreement should be read together. They were executed on the same day. They were both separate aspects of a single primary transaction—Alberto's hiring. They both governed, ultimately, the same issue—how to resolve disputes arising between Alberto and Cambrian arising from Alberto's employment. Failing to read them together artificially segments the parties' contractual relationship. Treating them separately fails to account for the overall dispute resolution

process the parties agreed upon." (*Id.*, at pp. 490-491.) Defendant's arguments against reading the agreements together at page 3 of its reply are really arguments about whether the confidentiality agreement is unconscionable, not whether reading the agreements together is appropriate. The Court will follow *Alberto* and consider the two agreements together.

Labor Code § 232.5 bars an employer from requiring that an employee refrain from disclosing information about working conditions, with a limited carve-out for trade secrets and the like. The confidentiality agreement bars the employee from disclosing any "CONFIDENTIAL INFORMATION," as defined, to third parties. (Ortiz Decl. Ex. 1 at p. 1.) "CONFIDENTIAL INFORMATION" includes, but is not limited to, a lengthy list of items that could reasonably be considered trade secrets. However, the list concludes: "or any other material relating in any manner whatsoever to the . . . employees (including the salaries of employees other than Associate and their abilities) of GUESS?." (*Ibid.*)

The plain language of the confidentiality agreement bars employees from disclosing any information about working conditions, as that information is "material relating in any manner whatsoever to the . . . employees." The confidentiality agreement is made "in consideration of GUESS? employment or continuing employment." (*Ibid.*) That is, it is a requirement that employees not disclose information (except their own salaries) about working conditions. This violates Labor Code § 232.5, and as such, is unconscionable.

7. <u>Non-mutuality of Confidentiality Agreement</u>

Finally, Plaintiff contends the confidentiality agreement is unconscionably non-mutual. It provides that Defendant's confidential information "cannot reasonably be compensated in damages" and allows Defendant, but not Plaintiff, to seek "injunctive and other equitable relief" in a court "to prevent a breach of this Agreement." (*Id.*, at p. 2.)

Plaintiff again relies on *Alberto* when making this argument. His reliance is misplaced. As *Alberto* explains, "provisions that allow employers to seek a preliminary injunction outside of arbitration for breach of a confidentiality agreement are not, by themselves, unconscionable, simply because they primarily benefit employers." (*Alberto*, *supra*, 91 Cal.App.5th at p. 492.) The provision in *Alberto* was unconscionable because of additional terms: it waived the employer's need to post a bond, waived the employer's need to show irreparable harm, and required the

		employee to consent to entry of an immediate injunction. (*Ibid.*) The confidentiality agreement here requires the employee to agree that Defendant will suffer irreparable harm, which is one of the factors identified in *Alberto*. But the other factors—waiver of the bond requirement and employee consent to an immediate injunction—are missing. On the whole, the Court finds the confidentiality agreement sufficiently mutual. **C. <u>Severance</u>** The arbitration agreement contains a severability clause. Defendant urges the Court to simply sever any unconscionable terms. The Court declines to do so. While a severability analysis is not a mere counting exercise, there are numerous unconscionable provisions of the arbitration agreement (when read together with the confidentiality agreement) such that the agreement is permeated with unconscionability. Severing the offending terms and enforcing the arbitration agreement would “create an incentive for an employer to draft a one-sided arbitration agreement in the hope employees would not challenge the unlawful provisions, but if they do, the court would simply modify the agreement to include the bilateral terms the employer should have included in the first place.” (*Ramirez v. Charter Communications, Inc.* (2025) 108 Cal.App.5th 1297, 1303-1304.) Rather than sever the offending terms, the Court declines to enforce the arbitration agreement.
17	**Red Granite Medial LLC vs. Paysafe Direct, LLC** **2026-01542882**	**Defendant's Motion to Compel Arbitration** **Case Management Conference** Defendants Paysafe Direct, LLC, PNC Bank, N.A., and Citizens Bank, N.A. move to compel arbitration of the claims of plaintiffs Red Granite Media, LLC and Tumbleweed Fortress, LLC. For the reasons set forth below, the motion is GRANTED. Plaintiffs are each ordered to individually arbitrate their claims. Their class claims are dismissed without prejudice. This action is stayed pending completion of the individual arbitrations. An arbitration review conference shall take place on March 30, 2027 at 8:30 a.m. in Department CX-101. Defendants’ unopposed request for judicial notice of the exhibits in Plaintiffs’ notice of errata is GRANTED. **<u>GROUNDS FOR RULING</u>**

I. Background

Plaintiffs are merchants who accepted credit card payments. As alleged in the complaint, Paysafe Direct was the payment processor for both plaintiffs, PNC was the acquiring bank for Red Granite Media, and Citizens was the acquiring bank for Tumbleweed Fortress. Each plaintiff entered into a largely identical agreement with Paysafe Direct and their acquiring bank. The agreement between Red Granite Media, PNC, and Paysafe Direct is Exhibit A to plaintiffs' notice of errata. The agreement between Tumbleweed Fortress, Citizens, and Paysafe Direct is Exhibit B. Each agreement identifies the plaintiff as "MERCHANT" and the acquiring bank and Paysafe Direct as "SERVICE PROVIDERS." Section 10.12 of each agreement is an arbitration clause with a class action waiver.

Plaintiffs, on behalf of a putative class of similarly situated merchants, allege that defendants overcharged certain fees related to customer payment disputes. They bring contract, tort, and UCL claims. Defendants move to compel each plaintiff to arbitrate its claims individually, and to dismiss the class claims. There appears to be no dispute that all claims at issue in this matter are covered by the language of § 10.12. Instead, plaintiffs argue the arbitration clause is unenforceable.

II. Conflict Between §§ 10.10 and 10.12

First, plaintiffs contend the arbitration clause at § 10.12 conflicts with the forum selection clause at § 10.10. As a result, they contend, the arbitration clause must be construed in such a way that it is inapplicable (and the conflict disappears), or it must be struck.

Section 10.10 provides:

> **10.10 Binding Effect:** Governing Law; jurisdiction and Venue. This Agreement shall be construed and governed by the laws of the State of California and the Federal Arbitration Act. Any action or proceeding on this Agreement by or against SERVICE PROVIDERS shall be initiated and maintained under the jurisdiction of the State of California with venue in the courts of Orange County, in which case this Agreement shall be construed and governed by the laws of the State of California. If any provision of this

		Agreement shall be held to be invalid, illegal, or unenforceable, the remaining provisions shall remain in effect. In the event Section 10.12 is deemed void or unenforceable, all claims or controversies between the parties arising out or relating to this Agreement or the breach thereof, shall be brought in a federal or state court located in California, and the parties hereby expressly consent to the exclusive jurisdiction of such courts for such purpose. Section 10.12 provides: **10.12 Dispute Resolution; Arbitration and Class Action Waiver.** Any claims or controversies between the parties arising out of or relating to this Agreement or the breach thereof, including disputes over the enforceability, validity or scope of this Section 10.12, shall be resolved through arbitration in accordance with the Commercial Arbitration Rules of the American Arbitration Association, as then may be in effect (which rules are available at www.adr.org), except that (i) temporary equitable judicial relief may be sought in a federal or state court located in California, until an arbitrator can be empaneled and has determined whether that relief should be continued, modified or ended, and the parties hereby expressly consent to the exclusive jurisdiction of such courts for such purpose, and (ii) judicial relief may be sought in such court or any other court of competent jurisdiction to compel arbitration or to enforce an award issued pursuant to this section. THE PARTIES ALSO AGREE THAT EACH MAY BRING CLAIMS AGAINST THE OTHER ONLY IN ITS INDIVIDUAL CAPACITY AND NOT AS A PLAINTIFF OR CLASS MEMBER IN ANY PURPORTED CLASS OR REPRESENTATIVE PROCEEDING. Further, unless both Parties agree otherwise, the arbitrator may not consolidate more than one person's claims and may not otherwise preside over any form of a representative or class proceeding. In the event the foregoing prohibition on representative or class proceedings is invalidated or otherwise held unenforceable, the Parties agree that the remainder of this Section 10.12 similarly shall be deemed void and unenforceable. Plaintiffs argue the §10.10 requirement that "[a]ny action or proceeding . . . shall be initiated and maintained under the jurisdiction of the State of California with venue in the courts of Orange County" conflicts with the §10.12 requirement that "[a]ny claims or controversies . . . shall be resolved through arbitration."

They urge the Court to either (1) construe “claims or controversies” in a manner that avoids conflict or (2) strike the arbitration clause as inconsistent with the forum selection clause.

The Court disagrees that any conflict exists in the first place. Although § 10.12 requires arbitration of all claims or controversies, it allows the parties to seek temporary, interim relief in court and to ask a court to compel arbitration or confirm an arbitration award. In turn, § 10.10 requires any such judicial relief to be sought in Orange County courts. Moreover, § 10.10 provides that in the event § 10.12 is unenforceable, claims or controversies must be heard in California courts. As defendants point out in reply, this means § 10.10’s forum selection clause applies only when § 10.12’s arbitration clause fails (setting aside actions for interim relief, etc.).

Even if there were a conflict, plaintiffs’ proposed construction of “claim or controversy” does not ring true. At pages 5-7 of their opposition, they suggest “action or proceeding” be construed as a justiciable dispute, and “claim or controversy” be construed as a nonjusticiable dispute. This would have the effect of justiciable disputes being heard in court, while nonjusticiable disputes are heard in arbitration. But if the dispute is nonjusticiable, what is there for an arbitrator to decide? The arbitrator would apply the same California law a court would, and he or she would dismiss the arbitration just as a court would dismiss a nonjusticiable case. As defendants point out in their reply, plaintiffs’ construction of “claim or controversy” renders the arbitration clause a nullity.

As there is no conflict between §§ 10.10 and 10.12, plaintiffs cannot avoid arbitration on this basis.

III. <u>Unconscionability</u>

Plaintiffs argue the arbitration clause is procedurally and substantively unconscionable. Defendants correctly point out that the arbitration clause expressly delegates questions of enforceability to the arbitrator: “Any claims or controversies between the parties arising out of or relating to this Agreement or the breach thereof, *including disputes over the enforceability, validity or scope of this Section 10.12*, shall be resolved through arbitration . . . .” (Emphasis added.) This language is “clear and unmistakable.” (*Tiri v. Lucky Chances, Inc.* (2014) 226 Cal.App.4th 231, 242.) Plaintiffs’ argument to the contrary relies on the perceived conflict between §§ 10.10 and 10.12. As discussed above, there is no such conflict.

		A delegation may also be challenged under state-law contract defenses, such as unconscionability. (See *ibid.*) But when the FAA applies—as it does here, in a case involving California merchants, a Delaware payment processor, and banks headquartered in Pennsylvania and Rhode Island—the party resisting delegation must challenge the delegation itself, not the arbitration agreement more generally. (See *Rent-A-Center West, Inc. v. Jackson* (2010) 561 U.S. 63, 72 (“Accordingly, unless Jackson challenged the delegation provision specifically, we must treat it as valid under § 2 [of the FAA], and must enforce it under §§ 3 and 4, leaving any challenge to the validity of the Agreement as a whole for the arbitrator.”).) Here, plaintiffs’ unconscionability arguments go to the arbitration clause as a whole, not the delegation provision specifically. As a result, these arguments are for the arbitrator, not the Court, to decide. **IV. <u>Conclusion</u>** Defendants’ motion to compel arbitration is granted. Each plaintiff is ordered to separately arbitrate its claims on an individual basis. Plaintiffs’ class claims are dismissed without prejudice. This action is stayed pending completion of the arbitrations.